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Elan Microelectronics Corp | Asia Pacific

Weaker 2H in PC, but new business on track

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↑ Meaningful upside Financial results versus consensus	↓ Modest revision lower Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Expect weaker 2H in PC market: Management expects 2H to be weaker vs. 1H, due to memory and CPU shortages. It also expects the gross margin to be slightly lower sequentially, due to foundry price hikes. In response to cost increases, Elan has also started to hike prices by 5-15% varying by different product line.

2Q26 earnings beat on non-ops: Elan's 2Q26 revenue was NT\$3.2bn, -1% Q/Q and +6% Y/Y. The gross margin was 47.4%, down 0.3ppt Q/Q, mainly because Elan's products are modules, and component cost is higher. 2Q26 EPS was NT\$3.07, +25% Q/Q and +148% Y/Y, 22% above our estimate and 36% above consensus, mainly because of non-op gains due to fair value adjustment of financial assets.

Stay OW, despite headwinds in the PC market. We expect new business, such as drones and optics, to add new growth; we also expect content growth, such as haptic touchpad, to help the company to weather the weak PC market.

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Elan Microelectronics Corp (2458.TW, 2458 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$250.00
Up/downside to price target (%)	56
Shr price, close (Aug 5, 2026)	NT\$160.50
52-Week Range	NT\$196.50-115.50
Sh out, dil, curr (mn)	308
Mkt cap, curr (mn)	NT\$49,355
EV, curr (mn)	NT\$45,981
Avg daily trading value (mn)	NT\$447

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	8.53	10.49	12.32	12.46
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	8.31	9.70	11.18	13.12
Revenue, net (NT\$ mn)	12,326	13,886	15,901	16,713
EBITDA (NT\$ mn)	3,282	3,687	4,486	4,555
ModelWare net inc (NT \$ mn)	2,442	3,004	3,528	3,568
P/E	14.0	15.3	13.0	12.9
P/BV	3.5	4.2	3.7	3.4
RNOA (%)	47.0	38.2	42.3	39.0
ROE (%)	25.0	29.1	30.2	27.0

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EV/EBITDA	10.0	12.3	9.9	9.7
Div yld (%)	4.8	3.6	3.6	3.6
FCF yld ratio (%)**	1.3	4.9	6.0	6.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
\$ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Elan Microelectronics Corp (2458.TW)

Residual income. We assume a cost of equity of 9.6%, an intermediate growth rate of 10.0%, payout ratio of 80% and terminal growth rate of 4.5%.

Risks to Upside

- Notebook shipments stronger than expected.
- AI PCs help content growth in notebook peripheral ICs.
- e-book controller IC ramps up faster than expected.

Risks to Downside

- Notebook replacement cycle extends, shipments lower than expected.
- No spec upgrade in notebook peripheral ICs in AI PC era.
- No progress in e-book controller IC.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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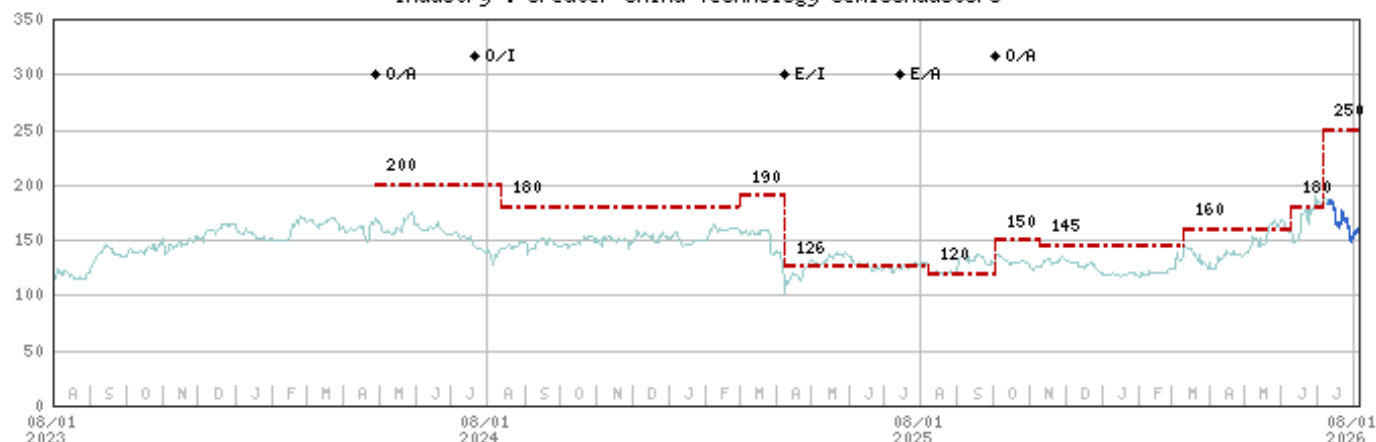
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Stock Price, Price Target and Rating History (See Rating Definitions)

Elan Microelectronics Corp (2458.TW) - As of 08/05/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 4/29/24 : 0/A; 7/21/24 : 0/I; 4/8/25 : E/I; 7/14/25 : E/A; 10/3/25 : 0/A

Price Target History: 4/29/24 : 200; 8/12/24 : 180; 3/2/25 : 190; 4/8/25 : 126; 8/7/25 : 120; 10/3/25 : 150; 11/10/25 : 145; 3/11/26 : 160; 6/9/26 : 180; 7/7/26 : 250

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$82.51
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb358.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$124.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,610.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$593.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,136.90
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,390.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$447.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$141.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$484.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$247.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.87
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,000.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb726.03
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$445.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb734.20
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.83
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,845.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb104.02
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$68.00
TSMC (2330.TW)	O (02/07/2022)	NT\$2,405.00
UMC (2303.TW)	O (05/19/2026)	NT\$122.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$157.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$376.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK\$165.60

China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.85
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.62
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb288.85
Innoscence (2577.HK)	E (10/13/2025)	HK\$43.90
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb68.97
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb93.52
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.33
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.20
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb25.96
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb91.01
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$855.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,415.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,020.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.40
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$160.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb110.69
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.44
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$117.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$270.40
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb212.00
Novatek (3034.TW)	U (02/04/2026)	NT\$550.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$130.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$618.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$751.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb53.27
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$169.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$129.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$225.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb109.92
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb364.92
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,070.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$600.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.18
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,530.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,245.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$268.49
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,885.00

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* Historical prices are not split adjusted.